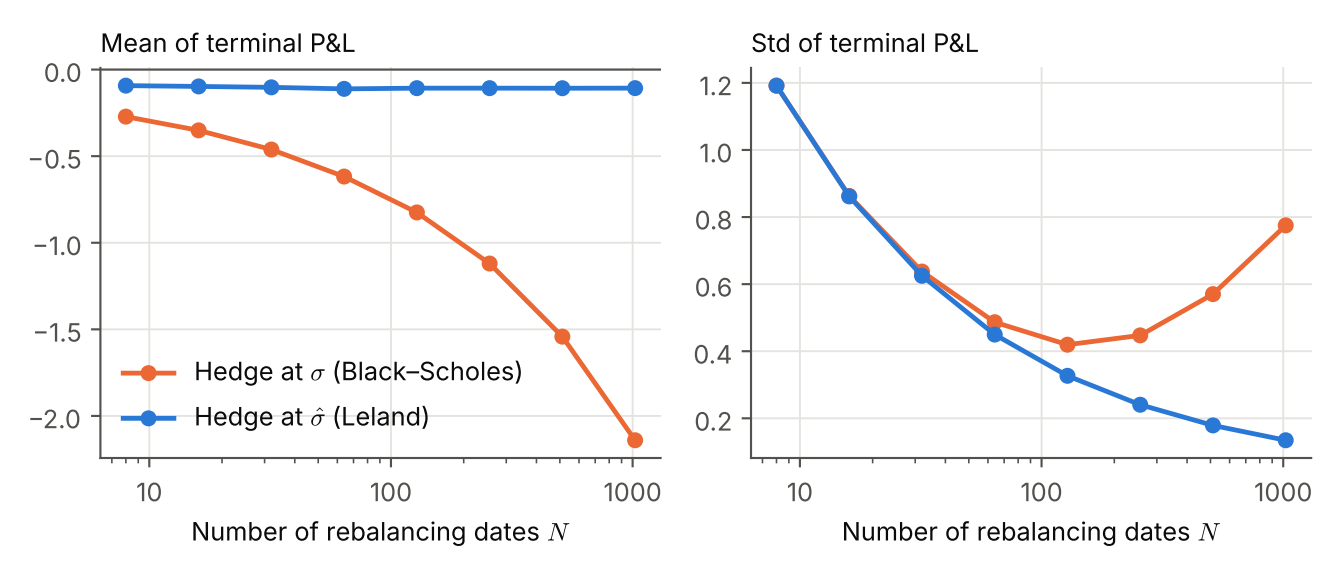
Mean of terminal P&L
0.0
−0.5
−1.0
−1.5
−2.0
Hedge at σ (Black–Scholes)
Hedge at $\hat{\sigma}$ (Leland)
10
100
1000
Number of rebalancing dates N
Std of terminal P&L
1.2
1.0
0.8
0.6
0.4
0.2
10
100
1000
Number of rebalancing dates N